

RESIDENTIAL CONVEYANCING BOOKLET (FOR SELLERS)

1. INTRODUCTION

- 1.1 This Residential Conveyancing Booklet ("**the Booklet**") is to be read in conjunction with the letter to which this Booklet is attached ("**the First Letter**").
- 1.2 The First Letter contains information which is specific to your transaction, such as:-
- (a) contract information;
 - (b) critical dates;
 - (c) what you need to do now;
 - (d) information on identity, searches and PAMDA compliance;
 - (e) details of legal fees and outlays; and
 - (f) a checklist of matters you need to attend to.
- 1.3 The Booklet contains information on the following:-
- (a) what is included and excluded from our retainer;
 - (b) an explanation of the contract terms;
 - (c) risk and insurance;
 - (d) how PAMDA affects you;
 - (e) important contractual matters to consider; and
 - (f) additional matters if selling a unit.
- 1.4 If you have any queries or questions about the information provided to you, please call us.

2. OUR RETAINER

2.1 What is included in our retainer?

Our retainer to act in a conveyance includes all matters which the Queensland Conveyancing Protocol (endorsed by the Queensland Law Society) recommends as being usual and necessary for the sale in Queensland of houses and residential land or residential lots in a community titles scheme.

If you instruct us to exclude any of the steps that are generally considered usual and necessary in a conveyance we are required by law to provide you with a detailed explanation of the risks associated with these exclusions. Advice of this nature is not part of the usual conveyancing process and will be an extra cost to you.

2.2 **What is excluded from our retainer?**

Our retainer does not extend to matters which go beyond what is usual and necessary in the conveyancing process. We consider the following items to be excluded:-

(a) **No financial/tax/matrimonial advice**

Advice regarding the commercial viability of the transaction or the tax, succession, matrimonial or other financial implications of the sale. If you require advice on the commercial viability or the tax implications of the sale you should seek the advice of a specialist financial adviser or tax professional such as your accountant.

(b) **Sustainability Declaration**

We do not, as part of our retainer, prepare or check the accuracy of any sustainability declaration given by you. You will need to prepare the sustainability declaration (see paragraph headed "Sustainability Declaration").

State government policy is to remove the requirement for sellers of residential property to provide sustainability declarations. If you have any questions about how the State government's removal of this statutory requirement affects your transaction or your rights or responsibilities, please contact us.

(c) **Survey**

We do not conduct a survey of the property. Issues such as errors in the boundaries, area of the land or encroachments by structures onto or from the land will generally not be identified unless a survey is conducted. While it is not usual for a seller to conduct a survey, a buyer may have rights of termination or compensation if any encroachments are identified and notified prior to settlement. If you are aware of any of these issues affecting the land please tell us so they can be disclosed in the contract.

(d) **Eligibility for concessions/grants**

If you have previously obtained the first home owners grant or a first home, home or first home vacant land duty concession, your sale of the property may affect your continued eligibility for these schemes. We do not check whether you will have any obligation to refund a part/all of your entitlement to a concession or grant. See paragraphs 8.4 and 8.4 for further information.

(e) **National Rental Affordability Scheme (NRAS) lease or arrangement**

Unless we have specifically agreed in writing with you, we will not be providing advice on any NRAS lease or arrangement that may be related to your sale and it will be beyond the scope of work and advice we will be providing. NRAS arrangements are very complex in nature and may require specialist legal advice from within our firm or from another firm. It is your responsibility to ensure you are receiving NRAS advice for this transaction and if you choose not to you may suffer loss.

2.3 Method of Sale

In Queensland property is sold by the following methods:-

- (a) private treaty, where you negotiate the contract price and terms with the buyer, often with the assistance of a real estate agent;
- (b) auction, where terms are set by the seller and the price determined by competitive bid, subject to a reserve; or
- (c) tender, which is another form of competitive bidding.

3. EXPLANATION OF THE CONTRACT TERMS

3.1 Form of contract

There are two forms of contract recommended by the Real Estate Institute of Queensland and the Queensland Law Society. They are:-

- (a) Houses and Residential Land (9th Edition); and
- (b) Residential Lots in a Community Titles Scheme (5th Edition).

You should read your contract in detail, in particular the reference schedule.

In this section we point out contract terms which we consider important in relation to your sale.

3.2 Reference Schedule

The reference schedule contains the particulars which are relevant to your contract. These particulars are set out in the First Letter. You need to check that they are accurate and tell us immediately if the particulars are not accurate.

3.3 Time essential

Time is of the essence of the contract. This is a legal term that means that you must perform your obligations under the contract strictly by 5:00pm (or other specified times) on the specified due date. For example, you must be ready willing and able to settle on the settlement date, otherwise the buyer may either terminate or affirm the contract. In both cases, the buyer would also be able to claim damages from you.

In certain limited circumstances where either party is unable to meet their settlement obligations because of a natural disaster (for example the January 2011 South-East Queensland floods) time will no longer be of the essence. The party affected by the natural disaster must make all reasonable efforts to minimise the effect of the natural disaster on its ability to perform its settlement obligations.

When the natural disaster no longer prevents that party from performing their settlement obligations:

- (a) that party is obliged to serve a notice advising that they are no longer affected; and
- (b) either party may serve a notice to settle which must state that the suspension has ended, nominate a new settlement date (which must be not less than 5 but not more than 10 Business Days after the date of the notice) and that time is of the essence.

The suspension of time has then ended and both parties are obliged to settle on the date stated in the notice to settle.

3.4 Deposit

Payment of the deposit is a sign of the buyer's intention to proceed with the contract. It is usually a substantial amount (but no more than 10%). If the contract becomes unconditional and if the buyer later defaults under the contract then you may be entitled to forfeit the deposit and either sue the buyer for damages or seek an order from the court that the buyer specifically perform the contract, or both. The deposit is generally held in trust by an agent or lawyer until settlement and following settlement the deposit will be paid to you (usually less the agent's commission). It is therefore important that the deposit holder be either a solicitor or a real estate agent and that the deposit is held in a trust account.

If the buyer were to terminate for valid reasons in accordance with the contract, then the deposit would be repayable to the buyer. If the deposit is not paid on time or the buyer is otherwise in fundamental breach of the contract, you will be able to terminate the contract and forfeit the deposit. You may recover from the buyer as a liquidated debt any part of the deposit which is not paid when required. If you are obliged to pay GST you will have to pay GST on the forfeited deposit. You may also, depending on the terms of appointment of your agent, be liable to pay your agent's commission and would be entitled to include any commission paid in a claim for damages against the buyer.

3.5 Finance

If the contract is subject to finance, the buyer is required to take all reasonable steps to obtain finance approval and notify us as to whether finance is approved before 5:00pm on the finance date. If the buyer does not notify us that finance is approved then the contract remains on foot and either party can terminate the contract.

The buyer also has a continuing right to give notice of receipt of satisfactory finance or alternatively to waive the benefit of the finance condition up until the time the contract is terminated by you.

3.6 Building and Pest Inspections

If the contract is subject to building and pest reports, the contract requires the buyer to take all reasonable steps to obtain the reports and notify us as to whether the reports are satisfactory before 5:00pm on the inspection date. If the buyer does not notify us that the building and pest reports are satisfactory then the contract remains on foot and either party may terminate the contract.

The buyer also has a continuing right to give notice of receipt of satisfactory reports or waive the benefit of the building and pest condition up until the time the contract is terminated by you.

3.7 Cheques for settlement

The contract only obliges the buyer to pay for bank cheques in favour of the seller and the seller's financier at settlement. If you require additional bank cheques you must pay the cost of those at settlement, unless the buyer agrees in writing prior to settlement to draw trust cheques for those accounts.

4. **INSURANCE**

The property will be at the buyer's risk from 5:00pm on the first business day after the contract date. Despite this, we strongly recommend that you maintain your insurance policy until we have confirmed that settlement has been effected. There are many circumstances in which the risk will pass back to you without notice (even after the contract is unconditional) and failure to maintain adequate insurance could result in significant loss to you.

You have a continuing obligation until settlement to take reasonable care of the property and if the property becomes "unfit for occupation" as a dwelling prior to settlement, then the buyer may have a right to withdraw from the contract.

However, if the property is damaged in any way between the Contract Date and settlement (for example, due to fire or vandalism) then you will likely be able to require the buyer to settle in accordance with the contract irrespective of the damage (unless the buyer has another right of termination it can exercise, such as a residence being no longer capable of occupation).

5. **HOW DOES THE PROPERTY AGENTS AND MOTOR DEALERS ACT 2000 ("PAMDA") AFFECT YOU?**

5.1 **Warning Statement**

PAMDA requires that all contracts for the sale of residential property in Queensland have attached a PAMD Form 30c Warning Statement ("**Warning Statement**").

The only exceptions are where:

- (a) the property is sold under the fall of the hammer at auction, however if the property is passed in a Warning Statement must be attached to the contract; and
- (b) a buyer drafts and submits a signed contract to a seller as an offer to buy.

PAMDA also requires that a certain process be followed and certain directions be given by a seller or the seller's agent in the formation of a contract. This involves:-

- (a) ensuring that the correct version of the PAMD Form 30c Warning Statement has been properly attached to the contract;
- (b) ensuring that if the sale is of a unit, the correct version of the BCCM Form 14 Information Sheet has been properly attached to the contract; and
- (c) ensuring that the buyer's attention has been properly directed to the Warning Statement, and if a unit, the Information Sheet and the contract.

If the Warning Statement is not properly attached or the buyer's attention is not properly directed to the relevant documents in accordance with PAMDA then the buyer may be able to terminate the contract, unless one of the bars to termination apply, namely that:-

- (d) the buyer signed the Warning Statement and if a unit, the Information Sheet, which were attached to the contract at the time of signing, before signing the contract; and/or
- (e) more than 90 days has elapsed from the day the buyer received the contract.

5.2 Information Sheet

The *Body Corporate and Community Management Act 1997* ("**BCCMA**") requires that all contracts in relation to lots in a community titles scheme have attached a BCCM Form 14 ("**Information Sheet**"). As with the Warning Statement, an Information Sheet is not required to be attached if the property is sold at auction.

If the Information Sheet is not properly attached or the buyer's attention not properly directed to the relevant documents in accordance with PAMDA then the buyer may be able to terminate the contract, unless one of the bars to termination apply, namely that:-

- (a) the buyer has signed the Information Sheet, which was attached to the contract at the time of signing, before signing the contract; and/or
- (b) more than 90 days has elapsed from the day the buyer received the contract signed by both parties.

5.3 Cooling Off Period

Under PAMDA the buyer is entitled to a 5 business day cooling off period unless the buyer waives the benefit of the cooling off by providing a PAMD Form 32a certificate signed by their lawyer to you. This period starts on the day that the buyer or the buyer's solicitor receives the contract signed by both parties, returned in accordance with the requirements of PAMDA or if you signed the contract before the buyer did, then on the day that the buyer signed the contract and communicated acceptance to the seller. The cooling off period ends at 5:00pm on the fifth business day.

The buyer is entitled to terminate the contract during the cooling off period. If the buyer terminates the contract during the cooling off period, you are entitled to retain a termination penalty equivalent to 0.25% of the purchase price from the deposit up to a maximum of the full deposit amount. The balance deposit must be refunded to the buyer within 14 days following termination.

It is possible for a buyer to waive the benefit of the cooling off period by giving a properly completed Lawyer's Certificate in the approved form before signing the contract. It is up to you whether you wish to insist on this from the buyer or not. If you require the buyer to waive the benefit of the cooling off period please telephone us to discuss.

5.4 Valuation

The contract provides that you must allow the buyer's valuer access to the property (after receiving reasonable notice) once prior to settlement for the purpose of valuing the property.

5.5 Vacant land – Non residential use pre-contract notice

If you are selling vacant land through an agent or auctioneer and at the date of the contract the land is not able to be lawfully used for residential purposes your agent or auctioneer is required prior to entering into the contract to give the buyer a notice under sections 149/226 of PAMDA stating, amongst other things, that the land is not able to be lawfully used for residential purposes.

If:-

- (a) you are selling vacant land;
- (b) the land cannot be lawfully used for residential purposes; and

- (c) your agent or auctioneer has not given a notice under s.149/s.226 of PAMDA that the land cannot be used for residential purposes or the notice was materially defective,

you need to tell us immediately, as the buyer may have a right under s.150/s.227 of PAMDA to avoid the contract by giving a notice of avoidance within 6 months of the contract date.

If the contract is avoided, you and your agent will both be liable to pay to the buyer all amounts paid by the buyer under the contract and amounts paid for legal and other expenses after the contract was signed. The buyer could also require that the property be reconveyed to you following settlement and that you pay the associated costs. It is therefore important to ensure this notice was given prior to the buyer signing the contract.

If this notice has been given please forward a copy to us to check.

If the notice has not been given and the contract has not yet been issued we will arrange for the notice to be prepared and issued prior to the contract.

If the notice has not been given and the contract has issued to the buyer but not yet been signed, we suggest the contract be withdrawn and reissued after giving the notice.

If the notice has not been given and the contract is signed the only sure way to rectify the problem is for the buyer and seller to mutually terminate the contract and reissue in the proper manner. Prior to taking any action you should contact us for further advice so you can make an informed decision on how to proceed.

6. WARRANTIES AND DISCLOSURE

6.1 Seller's warranties

Under the contract the seller gives warranties about various matters which could affect the property, in particular:-

- (a) that you are the registered owner of the property;
- (b) you are capable of completing the sale;
- (c) there are no unsatisfied judgments, orders or writs affecting the property (and if a unit, the common property) and no current threats or claims that might lead to a judgment order or writ affecting the property (and if a unit, the common property);
- (d) there are no unregistered encumbrances, leases or other dealings;
- (e) in relation to the *Environmental Protection Act 1994* ("EPA"):-
 - (i) there is no outstanding obligation to give notice under the EPA of a notifiable activity on the land;
 - (ii) you are not aware of facts or circumstances that may lead to the land being classified as contaminated under the EPA.

6.2 Consequence of breach of warranty

If you breach any of these warranties the buyer may:-

- (a) terminate the contract no later than 2 days before settlement; or
- (b) claim compensation, prior to settlement, and proceed to completion.

6.3 **Property adversely affected**

If the property (including any part of the Scheme Land if the property is in a body corporate) is adversely affected at the contract date because:-

- (a) the present use is not lawful;
- (b) the land is affected by a proposal of a competent authority e.g. Transport Infrastructure;
- (c) access or any services to the land passes unlawfully through other land;
- (d) an authority has issued a current notice to treat, or notice of intention to resume;
- (e) the property is affected by the *Queensland Heritage Act 1992* or is included in the World Heritage List;
- (f) the property is declared acquisition land under the *Queensland Reconstruction Authority Act 2011*;

and these facts are not disclosed in the contract, then the buyer is entitled to terminate the contract up until 2 business days prior to settlement. If the buyer does not terminate in accordance with the contract, the buyer will be treated as having accepted the property subject to these matters.

6.4 **Matters you need to disclose**

To enable us to make the appropriate disclosure, please telephone us if you are aware of any of the following, or other particular or unusual features affecting the property, such as:-

- (a) unregistered encumbrances and other government rights or interests that may affect the property, for example, water, sewerage or combine drains which traverse the property;
- (b) urban encroachment – if in the Milton Rail Precinct or other declared area– an affected area notice (see comments in clause 6.7);
- (c) access rights for geothermal exploration or production under *Greenhouse Gas Storage Act 2009*, *Geothermal Energy Act 2010*, or the *Petroleum and Gas (Production and Safety) Act 2004*;
- (d) notices to do work issued by the local government or any court or tribunal;
- (e) building covenants;
- (f) easements;
- (g) equitable mortgages;
- (h) leases;
- (i) known minor encroachments by fences or trees;
- (j) any heritage listings;
- (k) road widening or any notice of a proposed road widening;
- (l) proposed resumptions;

- (m) any unsatisfied judgements, orders or writs affecting the property, the common property or body corporate assets;
- (n) any threatened claims notices or proceedings that may lead to a judgment order or writ (e.g. orders or applications to QCAT in relation to trees on the property); or
- (o) ongoing conditions of development approvals, for example, the existence of a bushfire management plan affecting the property.

If you fail to make proper disclosure in the contract the buyer may have rights to terminate the contract and/or claim damages. For example, if you fail to disclose in the contract that a sewerage or drain line traverses your property this will be a defect in title which, if material to the buyer, may allow the buyer to terminate the contract or claim damages.

6.5 EPA Disclosure

The EPA requires that you disclose in the contract any of the following, if applicable:-

- (a) if the land is the subject of a notice issued under the EPA informing you that the Environmental Protection Authority believes the land has been or is used for a notifiable activity or is contaminated, a notice to conduct or commission a site investigation, a remediation notice or a notice that the Environmental Protection Authority requires a site management plan to be prepared for the land; or
- (b) if a magistrate issues an order under the EPA for an authorised person to enter the land to conduct an investigation or to conduct work.

If any of these situations arise and they are not disclosed in a notification by you under the EPA prior to you entering into the contract then the buyer may terminate the contract by notice given before the earlier of completion or possession. In this event, all money paid by the buyer must be refunded to it.

Please contact us immediately if you think any of these matters may apply to the land or if you think that it may be contaminated. If the contract has not been signed it is important that these matters be disclosed in a notice to the buyer prior to the buyer entering the contract.

6.6 Administrative Advices

Administrative advices may also reveal other interests impacting on the land that require disclosure by you such as heritage listing or agreements, coastal protection notices, nature conservation orders, vegetation clearing offences, Milton Brewery notices (in respect of a unit) or water licences.

In addition, if an administrative advice is lodged on the title where land is declared acquisition land under the *Queensland Reconstruction Authority Act 2011* (Qld) then the following applies:-

- (a) you are not able to sell the land other than to the relevant authority;
- (b) if you do want to sell the land the relevant authority must acquire it.

If as at the Contract Date the land is declared to be acquisition land and disclosure has not been made in the contract then the buyer may be entitled to terminate the contract by giving notice no later than 2 Business Days prior to the Settlement Date.

If there is an administrative advice of this nature on your land, you should not sign a contract to sell the land to any person other than the relevant authority. However, if you have already signed a contract:-

- (a) the contract is not invalid and the buyer is treated as having received notice that the land is declared acquisition land;
- (b) your rights as seller and any rights that the buyer may have will depend upon the terms of the contract, including possible rights of termination for the buyer.

If a coastal protection or tidal works notice is given under the *Coastal Protection and Management Act 1995* (Qld), then this should appear as an administrative advice on the title. If you sell land which is subject to an undischarged coastal protection or tidal works notice then the contract may be of no effect unless you give the buyer written advice of the undischarged notice not less than 14 days prior to settlement, or if settlement is less than 14 days after the date of the contract, at or before entering into the contract

There may also be unregistered interests affecting the title under statute such as access agreements under the *Greenhouse Gas Storage Act 2009*; *Geothermal Energy Act 2010*; *Petroleum and Gas (Production and Safety) Act 2004*. Please tell us immediately if you think any of these issues may affect the property.

6.7 **Urban Encroachment**

Chapter 8A of the *Sustainable Planning Act* ("SPA") contains provisions about Urban Encroachment.

The purpose of these provisions is to protect existing uses from the intensification of development in surrounding areas which is achieved by restricting proceedings in relation to the activities of existing uses which involve emission of aerosols, fumes, light, noise, odour, particles or smoke.

SPA requires:-

- (a) registration of existing uses;
- (b) mapping of affected areas;
- (c) the lodgement of an affected area notation as an administrative advice on the title; and
- (d) restricts the owner or occupier of affected premises, which are the subject of an application for intensification of use from taking proceedings against any person carrying out an existing use who has acted in compliance with the conditions of its approval and any environmental laws.

There is no statutory or contractual right to terminate a contract if it is discovered that the property being sold or purchased in an affected area, except in the Milton Rail Precinct as set out below.

If you are selling a lot in a CTS in the Milton Rail Precinct which is subject to a current development application made before 27 April 2009 the buyer is entitled to terminate the contract unless the buyer has received an affected area notice at or prior to the contract of sale. If you are unsure as to whether this applies to your lot, please contact us immediately.

In addition, for premises which are in an affected area, you or your agent must prior to leasing the premises, give a notice to any tenant stating that the premises is in an affected area and noting the restriction on the tenant taking proceedings about the emission of aerosols, fumes, light, noise, odour, particles or smoke from registered premises in the affected area.

6.8 Sustainability Declaration

The *Building Act 1975* requires you to provide the buyer with a sustainability declaration in the approved form in relation to the property prior to advertising the property for sale.

The sustainability declaration:-

- (a) must be given to a buyer on request;
- (b) must be displayed conspicuously at an open for inspection or otherwise given to the buyer at an inspection of the home;
- (c) should be included in any advertising material given to a buyer (other than at inspection where (b) above applies); and
- (d) must include reference to its location in any marketing material or advertisement about the sale of the property.

Please confirm the buyer has been given a sustainability declaration.

A failure by you or your agent to provide or display the sustainability declaration does not entitle a buyer to terminate the contract, however, the buyer may be able to claim compensation if it subsequently incurs a loss or expense arising from a false or misleading sustainability declaration.

A copy of the form that you need to complete can be obtained from the Department of Local Government and Planning web site: <http://www.dlgp.qld.gov.au/sustainable-housing/sustainability-declaration-form.pdf>

State government policy is to remove the requirement for sellers of residential property to provide sustainability declarations. If you have any questions about how the State government's removal of this statutory requirement affects your transaction or your rights or responsibilities, please contact us.

6.9 QBSA Owner Builder Notice

If:-

- (a) building work has been carried out on the property by a person who is not licensed to carry out that building work; and
- (b) the land is offered for sale within 6 years after completion of the building work,

you have a statutory obligation before a contract is signed to give notice to a buyer containing details of the work and the warning required by regulation.

If the notice and warning are not given then you will be taken to have given the buyer a contractual warranty that the building work was properly carried out. The effect of this is that if the work turns out not to have been properly carried out then the buyer may have a right to claim compensation from you.

Please let us know if you conducted any work as an owner builder so that we can prepare the relevant notice.

6.10 Consumer Guarantees

In some circumstances where goods are being supplied as part of the sale of the property, the consumer guarantees contained in the Australian Consumer Law will apply. These guarantees cannot be contracted out of, however, where:-

- (a) the value of each of those goods (if sold separately) is under \$40,000; and
- (b) the goods are not goods of a kind ordinarily acquired for personal, domestic or household use, for example industrial air-conditioning or other plant,

then it is possible to limit your liability under some guarantees to the repair or replacement of those goods, that is, you can limit claims for any other reasonably foreseeable loss or damage resulting from failure to comply with a consumer guarantee.

If you think this applies and you would like us to include a special condition to limit your liability in this way, please contact us to discuss.

6.11 Neighbourhood Disputes

Please tell us if you are currently in dispute with neighbouring property owners about fences or trees as these disputes may need to be disclosed to the buyer. In particular, please tell us if you are aware of any:-

- notices to fence from a neighbour;
- applications to the Queensland Civil and Administrative Tribunal ("**QCAT**") in relation to fencing or trees; or
- QCAT orders in relation to fencing or trees affecting the property.

In relation to trees you must give copies of these documents relating to trees to the buyer prior to the buyer entering into the contract and specific disclosures may need to be made in the contract. If copies of documents relating to trees are not given then you may be liable to pay a significant financial penalty and the buyer may terminate the contract at any time before settlement or you may be liable to comply with the order following settlement.

If the buyer terminates in these circumstances prior to settlement you may also be liable for the buyer's reasonable legal and other expenses incurred by the buyer in relation to the contract after the buyer signed the contract.

If the buyer completes the purchase and you have not completed all work in relation to a QCAT tree order which has not been given prior to the buyer's entry into the contract, you will remain liable to carry out the work required under the order.

In relation to fences you have warranted in the contract that there will be no unsatisfied fencing notices, orders or applications existing at settlement that were not disclosed in the contract to the buyer. If an unsatisfied notice, order or application exists at settlement then the buyer may be entitled to terminate the contract or claim compensation from you.

You are also obliged under the contract to promptly give the buyer a copy of any notice, proceeding or order, received after the contract date, that affects the Property. You must not after the contract date, given any notice to another party or seek or consent to any order or agreement that affects the Property without the buyer's prior written consent.

Please contact us immediately with details of any disputes relating to dividing fences or trees so that we can ascertain if disclosure has, must or can still be made and advise you accordingly.

7. POOL SAFETY

7.1 What is a “swimming pool”

A regulated swimming pool is any excavation or structure capable of being filled with water to a depth of 300mm or more including a pool, spa pool/tub or wading pool, but generally does not include a fish pond (or similar ornamental water feature), dam, water tank, watercourse, spa bath in a bathroom (unless continually filled with 300mm or more of water) or birthing pool.

If you have any doubt as to whether a pool is situated on the property, then you should contact us.

7.2 Pool Safety Register

Owners of swimming pools are responsible for ensuring that their pool is recorded in the Pool Safety Register. Failure to do so can result in a \$2,000 fine.

7.3 Non shared pool – obligation to obtain Pool Safety Certificate

Where there is a pool on the property (or on adjacent land used in association with the property) that is a non-shared pool and there is no Pool Safety Compliance or Exemption Certificate in effect, you must not enter into a contract to sell the property without giving the buyer a Form 36 Notice of No Pool Safety Certificate.

In addition, if you will not be giving a Pool Safety Compliance or Exemption Certificate you must, prior to settlement, notify the chief executive of the Department of Local Government and Planning that a Pool Safety Certificate is not in effect. We will provide a copy of the Form 36 Notice of No Pool Safety Certificate to the chief executive, Department of Local Government and Planning.

The contract requires the you to complete the following questions:-

- Q1 - is there a pool on the property or on adjacent land used in association with the property?
- Q2 - is there a Compliance or Exemption Certificate (which includes a Pool Safety Certificate, a building certificate that may be used instead of a Pool Safety Certificate or an exemption from compliance) at the time of contract?
- Q3 - has a Notice of No Pool Safety Certificate been given?

If you indicate that a Pool Safety Compliance or Exemption Certificate will be given to the buyer at settlement then you must hand over a copy of a current Pool Safety Certificate, building certificate that may be used instead of a Pool Safety Certificate or an exemption from compliance at or prior to settlement, failing which the buyer can terminate the contract. If any of the certificates expire prior to settlement, you must obtain a new certificate which is in effect at settlement.

If you indicate that there is no Pool Safety Compliance or Exemption Certificate or do not complete the questions, the contract is conditional upon the buyer obtaining from a licensed pool safety inspector:-

- (a) confirmation that the pool safety requirements have been met and the issue of a Pool Safety Certificate; or
- (b) the issue of a Notice of Non-conformity confirming the works required before a Pool Safety Certificate can be issued.

Under the contract, the buyer has until the Pool Safety Inspection Date to notify us that:-

- (c) a pool safety inspector has issued a Pool Safety Certificate in which case neither party has further rights; or
- (d) if a Pool Safety Certificate is not issued, that the buyer terminates the contract. The buyer must act reasonably in making this decision; or
- (e) the buyer elects to waive the benefit of the condition and proceed to settlement, in which case the buyer becomes responsible for obtaining the Pool Safety Certificate within 90 days of settlement.

You are also entitled to obtain a Pool Safety Certificate in this period and if you do then you should tell us and we will give notice that the condition is satisfied and the buyer's right to terminate will end. You may prefer to obtain the Pool Safety Certificate yourself in circumstances where you want to avoid the possibility of the buyer terminating the contract because a Pool Safety Certificate is not obtained by the buyer, for example if there is some minor non-conformity.

If a Pool Safety Certificate has not issued and the buyer does not give notice the contract remains on foot and both you and the buyer have a right to terminate the contract, unless a copy of a current Pool Safety Certificate is received. The buyer also has the right to waive the benefit of the condition.

7.4 Shared Pool

In the case of a shared pool (e.g. a pool on the scheme land of an apartment building) the body corporate is responsible for obtaining the Pool Safety Certificate. You have an obligation, prior to settlement, where a Pool Safety Certificate is not in effect, to give a Notice of No Pool Safety Certificate to:-

- the buyer;
- the Body Corporate (being the owner of the shared pool); and
- the chief executive of the Department of Local Government and Planning. We will provide a copy of the Form 36 Notice of No Pool Safety Certificate to the chief executive, Department of Local Government and Planning and the Body Corporate.

The owner of the shared pool (usually the body corporate) then has 90 days in which to obtain a Pool Safety Certificate, subject to the transitional arrangements which:-

- (a) in the case of a shared pool used for short term accommodation, extends the time to 1 June 2011; and
- (b) in the case of any other shared pool, extends the time to 1 December 2012.

7.5 Where a tenancy is proposed

You are prohibited from entering into a lease or tenancy of premises with a non-shared pool without first obtaining a Pool Safety Certificate.

This prohibition on leasing premises with a non-shared pool prior to obtaining a pool safety certificate applies to all new leases or tenancies entered into on or after 1 December 2010, subject to some exceptions and extensions in particular circumstances.

7.6 Penalties

There are substantial penalties for non-compliance.

8. IMPORTANT CONTRACTUAL MATTERS FOR YOU TO CONSIDER

8.1 Present Use

If the present use is not lawful under the relevant town planning scheme as at the contract date and this has not been disclosed in the contract then the buyer may be able to terminate the contract up until 2 business days before the settlement date.

8.2 Instalment Contract

We need to determine at the contract preparation stage, when the contract is first received by us and also any time a variation is proposed, whether your contract is an instalment contract. A contract can become an instalment contract for many reasons including the following:-

- (a) the deposit is more than 10%; or
- (b) the deposit is stated to be non-refundable in all circumstances; or
- (c) the buyer is given a rebate off the purchase price effective prior to settlement; or
- (d) the buyer is required to pay money to you (other than a 10% deposit) prior to receiving a transfer and the amount payable under the contract exceeds market value for what is provided in exchange. For example, a rent to buy contract may require the payment of instalments which exceed the market rent that would otherwise be payable.

The effect of the contract being an instalment contract is:-

- (e) if the buyer defaults in the payment of any instalment or part of the purchase price (other than a deposit) you cannot hold the buyer in default under the contract until you serve a notice on the buyer giving them 30 days within which to make payment. If the buyer chooses to make payment within the 30 day period then you cannot terminate the contract as a consequence of the buyer's initial non-payment. This means the buyer can effectively obtain another 30 days in which to settle;
- (f) you are prohibited from re-selling or re-mortgaging the property prior to settlement; and
- (g) you may be required to comply with the National Credit Code, including the requirements for pre-contractual disclosure, ongoing notices and certain pre-requisites to enforcement.

An instalment contract should be avoided or at the very least, you should be aware the contract is or has become an instalment contract.

8.3 Transfer Duty

Transfer duty is a state tax which is payable on the transaction.

It is a liability of both the seller and buyer. However the contract determines that it is the responsibility of the buyer to pay this liability. If for whatever reason the buyer does not pay the duty then the Office of State Revenue may have recourse against you as seller for the

duty. This is, however, unlikely as the buyer will need to pay duty before the property can be registered in the buyer's name.

You must tell us if you have a business or personal relationship with the buyer or if the consideration for the sale is less than market value. If so, this will have duty implications and the buyer will need to obtain a valuation of 3 comparable sales in the previous 3 months for duty assessment purposes. If applicable, it is important that we alert the buyer's solicitor to this fact because if the buyer does not fulfil its obligations regarding the payment of duty then the Office of State Revenue can seek to recover any shortfall directly from you. You should telephone us to discuss if you think this may apply in the circumstances of this sale.

If you obtained a transfer duty concession when purchasing the property on the basis that you would live in it continuously for a period of at least 12 months, then you should now review whether you have met your obligations. If you:-

- purchased an existing home and did not occupy the home within 12 months of settlement for a continuous 12 month period;
- purchased vacant land to build on and you have not built and occupied the house within 2 years for a 12 month continuous period;
- had tenants in the residence and they did not vacate the property within 6 months of settlement or the tenants stayed longer than the original lease; or;
- have already transferred, leased, rented, or otherwise granted exclusive possession of your property within 12 months of occupying the house or without ever having occupied the house at all;

then you must notify the Office of State Revenue within 28 days of any of these events happening as your liability for transfer duty will be reassessed. If you do not, significant additional penalty duty may be payable and interest charged from when you are liable to notify the Office of State Revenue. If applicable, this is your responsibility and is outside the scope of our retainer.

8.4 First Home Owner's Grant/Qld Building Boost Grant

If you obtained either the First Home Owner's Grant or the Queensland Building Boost Grant and if now, due to the current sale, you no longer satisfy the eligibility requirements for those grants, you should notify the relevant State Government departments who administer those grants with details of the sale as you may be required to repay some or all of those grant monies. To investigate whether you are required to notify, you should check the forms signed and information received when you applied for the grants, and the following relevant web sites:-

FHOG – <http://www.osr.qld.gov.au/first-home-owner-grant/index.shtml>

Building Boost - <http://boost.treasury.qld.gov.au/faqs/index.php>

We do not give any advice or reminders in relation to these grants or whether you may have to notify and repay money. You should check this for yourself.

8.5 Survey

Under the contract the buyer is entitled to survey the land to establish if there are errors in the boundaries or area of the land, there exists any encroachment onto or from the land or there are mistakes or omissions in describing the property.. If any of these issues arise then the buyer may be entitled to claim damages or terminate the contract providing notice is given to you prior to settlement.

8.6 **Pre-settlement Inspection**

Under the contract the buyer is entitled (after giving reasonable notice to you) to enter the property once for the purpose of conducting a pre-settlement inspection to check on the condition of the property. You need to co-operate with the buyer and if a request for inspection is received, we suggest you make arrangements directly with your agent and ensure your agent is present when the buyer inspects the property.

8.7 **Transfer documents**

All parties comprising the seller, need to sign the transfer documents. Any individuals must sign in the presence of a Justice of the Peace or a Solicitor and a company must sign in accordance with section 127 *Corporations Act 2001 (Cth)*. You will need to arrange for all signatories to be in a position to sign the transfer documents expeditiously once they are received. If you would like to attend at our office for the purpose of executing transfer documents please let us know and we will retain the transfer documents once received.

8.8 **Keys**

All keys to the premises must be delivered at completion. You will need to make a written record for the buyer of all codes and combinations, if applicable, necessary to fasten or unfasten any lock including electronic devices in the property. If the buyer requests that we deliver the keys at settlement you will need to deliver them to our office prior to settlement. The usual situation is that the keys should be left with the agent prior to settlement for collection by the buyer following completion.

8.9 **Chattels**

Prior to completion you must remove all chattels not included in the sale and any substantial rubbish on the property. You may also remove any fixtures which have been excluded from the sale (See item 2 of the First Letter). If the property is being sold subject to vacant possession, then this obligation requires that both your property and any tenant's property (if tenanted) must be removed prior to the actual time of settlement on the settlement date.

8.10 **Other Professionals**

We suggest you may wish to seek advice from an accountant (if required) in relation to the commercial viability and tax implications of the sale.

8.11 **Utility Services**

No adjustments are made at settlement in respect of charges for usage of electricity, telephone or gas etc. We recommend that you arrange for disconnection of these services on the proposed settlement date so that readings and adjustments only up to that date are billed to you. Please note that you should check your agreements with service providers for any fees or terms relating to discontinuing the service as this is beyond the scope of our retainer.

8.12 **Agent's commission**

If your property is being sold through an agent, we will let the agent know when settlement has been effected. If the agent holds the deposit then the usual procedure is for the agent to deduct commission from the deposit and forward the balance to you.

8.13 **Land tax**

If you have a land tax assessment for the current year could you please forward it to us as it will be useful in making settlement adjustments under the contract. The standard position

under the contract is that the adjustment will be based on the presumption that the seller is a natural person and owned no other land as at the previous 30 June. This means that if you are a corporate entity or you own other properties you may not be able to recover from the buyer the amount of the land tax liability for the parcel being sold attributable to the period following settlement.

8.14 Rates Notice

Please forward to us a photocopy of the latest Council Rates and Water Utilities Notices for the property and tell us if they have been paid or are still outstanding. If the notices are still outstanding you should instruct us as to whether you intend to make payment prior to settlement and, if so, provide us with evidence that the council/water provider has received payment prior to settlement. (This is so we can calculate the appropriate adjustments to settlement figures).

8.15 Land Valuation Act 2010

An administrative advice called a Land Valuation Act Notice may be recorded on title. If applicable, this notice alerts potential buyers that a deduction for site improvement or an offset allowance applies to the land. You should specifically instruct us if you have applied for or have been granted any deduction or allowance as in certain circumstances the Land Valuation Act Notice may not yet have registered on the title to your property and may register prior to settlement.

Where there is a change of ownership, a deduction for site improvement or an offset allowance will no longer apply. The unadjusted value will then be used for the calculation of local government rates, state land rent and/or land tax.

A property details report, available by searching the Queensland Valuation And Sales (QVAS) database at any of the DERM business centres, specifically states the amounts of the site improvement deduction total and the unadjusted value.

If you are a Seller with a deduction for site improvement or an offset allowance;-

- (a) you need to be aware that the deduction for site improvements will be lost on a sale and this will impact on the land value for rating and taxing purposes;
- (b) you need to ensure that neither you nor any real estate or other agent acting on your behalf makes representations to the buyer about the rates or tax liabilities that are currently payable or that will be payable by the buyer after the property has settled as this information could potentially be misleading to the buyer and could impact on the buyer's decision to ultimately purchase the property; and
- (c) we suggest you check to make sure the offset allowance or deduction has reduced your rates and land tax.

8.16 Smoke Alarms

Failure to install compliant smoke alarms is an offence under the *Fire and Rescue Service Act 1990*. If the property does not have compliant smoke alarms installed, you should ensure this is done immediately. You will need to declare whether compliant alarms are installed, in the transfer documents.

8.17 Electrical Safety Switch

Please let us know if an approved electrical safety switch for general purpose socket outlets has been installed in the property under the Electricity Regulations.

8.18 Personal Property Securities

What are Personal Property Securities and how do they affect this transaction?

The *Personal Property Securities Act 2009 (Cwth)* (“**PPSA**”) applies to security interests in *personal property*, including goods and chattels, financial property, shares and intellectual property (personal property).

Although the PPSA doesn’t apply to land, buildings or fixtures that form part of the land, it does apply where you are selling, in addition to the land, personal property which is not a fixture. Title to that personal property must be transferred at settlement free from encumbrances.

What is a fixture?

“**Fixtures**” means goods, other than crops, that are affixed to land. They not affected by the PPSA. A chattel is considered to be affixed to land if it is annexed to the land in such a way as to become part of the land (taking into account the degree/mode/object of annexation). For example:-

- An air-conditioning unit, satellite dish, oven, rangehood, window furnishings or carpets are usually fixtures and the PPSA may not apply.
- A clothes dryer, furniture package, fridge or washing machine (if not affixed) are chattels to which the PPSA applies.

When do I need a specific release?

If:

- personal property is the subject of a sale and purchase; and
- a security interest is noted in the PPS register relating to that property; and
- none of the extinguishment rules apply;

then we will obtain (on your behalf) from the secured party either a letter or financing change statement, which releases the personal property being sold and produce it to the buyer at settlement. If you are uncertain about the legal position of the chattels, we recommend you instruct us to request a specific release from the secured party.

To enable us to consider if any of the extinguishment rules apply, please provide your instructions on whether any personal property being sold as part of the property is worth less than \$5,000, is subject to a security interest and is being sold for “new value”.

Please tell us about any personal property included in the sale/purchase so that we can consider the impact of the PPSA on the transaction and protect your interests accordingly.

9. ADDITIONAL MATTERS IF SELLING A UNIT
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9.1 Body Corporate disclosures

The contract requires you to notify the buyer of any notices of body corporate meetings you receive and of or any resolutions passed after the contract date. If the buyer is materially prejudiced by any resolutions passed after the contract date, the buyer may terminate the contract. If disclosure is not made prior to settlement, the buyer may sue for damages. Please tell us if you are, or become aware of any of the following:-

- (a) any proposal to record a new community management statement or a notice of meeting for that purpose;
- (b) whether all body corporate consents to improvements made by you to common property are in place;
- (c) whether the exclusive use allocations given to the lot are recorded or changed in the community management statement (for example, car parking); and
- (d) a change in the insurance details for the building and public liability for the body corporate.

9.2 **Implied warranties given about the body corporate**

The BCCM Act also contains certain implied warranties. Please tell us if you are, or become aware of any of the following:-

- (a) any patent or latent defects in the lot, common property or body corporate assets;
- (b) any actual or contingent or expected liabilities of the body corporate; and
- (c) anything else you are aware of regarding the affairs of the body corporate which may affect the buyer.

If any of the above matters exist and are not disclosed to the buyer prior to entering into the contract and the buyer becomes aware of the non-disclosure by search or otherwise, then the buyer may have:

- (a) a statutory right to terminate the contract which may be exercised until 14 days after the buyer's copy of the contract is received by the buyer or someone else acting on the buyer's behalf; or
- (b) an ongoing right to damages.

If any of the above matters exist and are not disclosed to the buyer prior to entering into the contract and the buyer becomes aware of the non-disclosure by search or otherwise, then the buyer may have:

If you don't know whether any of the above matters exist, then to ensure appropriate disclosure is made to the buyer so that we may avoid the buyer obtaining a right of termination, we recommend that you instruct us to conduct a full search of the body corporate's records prior to entering into the contract.

9.3 **BCCM Disclosure Obligations**

You have disclosure obligations under the contract, at common law and pursuant to statute. Generally, the consequences of failing to give the required disclosure is that the buyer will have a right of termination of the contract.

The disclosure statement given with the contract must be accompanied by a copy of the Community Management Statement and contain the following information:-

- (a) details of the secretary or body corporate manager or in a specified 2 lot scheme, the person responsible for keeping records;
- (b) details of the regulation module which governs the scheme;

- (c) details of the body corporate administrative and sinking fund levies that apply to the lot you are purchasing and the extent to which those levies are based on the contribution schedule lot entitlements ("CSLE") or the interest schedule to lot entitlements ("ISLE") for the scheme;
- (d) a statement that the CSLE and ISLE are contained in the Community Management Statement;
- (e) details of improvements on common property for which you may be responsible;
- (f) details of any body corporate assets; and
- (g) that there is a committee of the body corporate or a body corporate manager engaged to perform the functions of the committee.

If the disclosure statement contains omissions or is inaccurate and the buyer would be materially prejudiced if required to complete the contract, then the buyer may have rights to terminate the contract.

The only way to ensure all the relevant information is disclosed in the disclosure statement and the contract is to conduct a full search of the body corporate records. Whilst there is a risk in not doing so, it is considered to be low if we obtain a copy of the registered CMS, you provide us with the information we have requested and instruct us to obtain a Body Corporate Information Certificate prior to preparing or giving a disclosure statement.

Unless you instruct us otherwise, we will not perform a full search of the body corporate records and will rely on the registered CMS, the information you disclose to us and the Body Corporate Information Certificate. If you would prefer that we conduct a full search of the body corporate records you should telephone us immediately.

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